

showed their approval by lifting the Sensex around 600 points (18 per cent) over the next couple of weeks.

But clouds of political uncertainty started gathering when the AIADMK withdrew support to the government in the second week of April. The big guns of the market were confident that the BJP would be able to prove its majority in Parliament the following week by making new allies. What followed was an anticlimax. In the narrowest ever loss in a no-confidence motion, the NDA government was defeated by one vote. The Sensex crashed 7 per cent on the news, and many traders suffered huge losses as a result of their overconfidence in the prospects of the NDA. I lost a good chunk of my trading profits, but fared better than many of my peers.

‘Never take huge bets on political events,’ Monk had told me a few days ago. ‘Markets may be irrational, but are far more predictable than politicians.’

The BJP would have won the trust vote but for the Bahujan Samaj Party and National Conference member Saifuddin Soz switching loyalties at the last moment. Surprisingly, the collapse of the government and the prospect of a third general election in four years did not dampen the bullish mood. This, even as tension was building up on the Kashmir border after Pakistani infiltrators seized India’s forward posts in Kargil and refused to back off. A war looked imminent after Indian armed forces mobilized troops in large numbers to reclaim its positions. India began air attacks in the last week of May, and it would be two months before the last of the infiltrators were driven out.

Logically, a combination of war and political instability should have sent investors fleeing for cover. In fact, the mood in the market was downcast during the first few days of the war at the prospect of a long-drawn conflict. But the market shrugged off these concerns quickly, and by the time India formally declared victory in the last week of July, the Sensex had rallied nearly 30 per cent.

Technology stocks were on fire. Making money had never been so easy.

‘To make money in this market, all you have to do is show up for work and buy a technology stock at random,’ Monk told me one day, when I visited his office for some work. ‘But this also means that the bull market could be nearing its end,’ he added.

The eye-popping rise in technology stocks – upstarts as well as leaders – had attracted ordinary investors in hordes. Like the professionals, the